A Hybrid AI-Enhanced Transaction Monitoring Framework for Fraud Detection

Anshika
Chitkara University Institute of Engineering and Technology
Punjab, India
anshika1303.be22@chitkara.edu.in

Archita
Chitkara University Institute of Engineering and Technology
Punjab, India
archita1335.be22@chitkara.edu.in

Sonali
Chitkara University Institute of Engineering and Technology Punjab, India
sonali2397.be22@chitkara.edu.in

Isha Kansal
Chitkara University Institute of Engineering and Technology Punjab, India
Isha.Kansal@chitkara.edu.in

***Abstract*— The increasingly growing of online banking system, digital payment means & financial cyberspace is easy & accessible but at the same time it comes up with the many complications as well such as unethical online hacking, frequent financial frauds. All this made the traditional fraud detection monitoring system insufficient in the terms of overpowering fraudulent activities been recorded. According to the recent cybersecurity studies by a reputed private company Surfshark shows alone in the year 2025, more than 425 million accounts have been compromised worldwide, depicting every second around 13 persons have their personal data revealed. This shows that advanced technologies from being a unique innovation integrated in human lives comes up with the cost of life-threatening dangers. And fraud is being one of them from which we will deal with by targeting its loopholes & challenges such as suspicious transaction with accuracy & less likely false positives despite the fraud occurrence in the real time. In the research paper, we will evaluate & provide best possible grassroot level solutions backed by the lab tests. The proposed hybrid AI powered enhanced system will deeply dwell into the cause of fraud detection & provide the instant alert. As being backed by the powerful monitoring & mitigating framework like rule-based in-depth machine learning algorithms & anonymous detecting techniques. The primary objective of the research is to analyses the efficient performance of AI driven monitoring system power in providing cybersecurity from fraudulent patterns & support the financial institution with implementation. Sanctity of an individual must be preserved and respected everywhere whether it is online or offline landscape. The rapid development in the digital world has not only made the day-to-day transactional tasks efficient and effective but also raised concern about urgent need for strong safety & security in financial undertakings.**

***Keywords*— Fraud, AI (Artificial Intelligence), Transaction, Cybersecurity, Hybrid.**

I. Introduction

The rapid growth in emerging technologies has framed financial sector across the world . In India , the widespread expansion of digital transaction technologies for example- Net banking , Unified Payments Interface(UPI) , Credit and debit card systems has not only improved the accessibility for users but also the efficient functionality of financial services. Online transactions have become necessity for people in everyday life ,allowing individuals or business owner operate in digital transaction instantly and securely without going through physical banking infrastructure process. Government efforts geared towards encouraging a shift to digital payments and financial inclusion have also increased the rate at which a cashless transaction is adopted both in the urban and rural regions.

However , With advancements in technology and complex framework there comes loopholes and vulnerabilities that cybercriminals take advantage to fraud and scam people using these technologies in their everyday life. Online cybercriminals and fraudsters develop sophisticated methods to exploit loopholes in these digital platforms that support online transaction. Common techniques include - phishing , social engineering , fake QR codes(QR Hijacking), SIM Swap and the use of mule accounts to transfer and withdraw illicit funds. In most instances, the victims have been tricked into a transfer of the money without even knowing, and transactions are conducted in real time in systems like UPI so that fraud money can be easily transferred through an account to another account which makes recovery and detection quite challenging.

Traditional transaction framework used by banking institutions primarily was based on rule-based mechanisms that detect fraudulent patterns or activities based on a predefined set of rules such as transactions above a limit, unusual frequency or overseas transfers. Although they played an important role in governance of regulatory compliance and risk management often generating a large number of false alert and least accuracy in detecting actual fraud patterns .

With years of development, machine learning techniques were introduced to improve detection by coding them to analyse behavioural abnormalities and hidden pattern . But , the problem arises as they lack explainability and transparency which are critically important under regulatory bodies framework such as RBI guidelines and AML requirements. Also , In today's world modern fraud operates through a chain of interconnected nexus of account in which a individual transaction may appear normal but when analysed collectively indicate a well-planned coordinated cybercriminal activity .

Consequently, an urgent need is the hybrid AI-enhanced transaction tracking application corresponding to the Indian digital financial environment. This system would need to integrate not only rule-based compliance, but also machine-learning intelligence, behaviour profiling, and network-level analytics that would guarantee the right detection of fraud on an adequate scale, but also offer explainability, consumer protection, and enhanced confidence in the growing digital economy of India.

The remainder of the paper will have the following organization; section II will be the literature review section covering the available fraud detection methods. Section III outlines the proposal of the methodology and system architecture. The experimental setup and the analysis of results are discussed in section IV. Section V is a conclusion of the study and an outlook on future research.

II. LITERATURE REVIEW

There are many research studies dedicated to fraud detection in online financial systems in recent years, on the basis of machine learning (ML), deep learning (DL), as well as combined methods. As the digital payments, particularly in India, using UPI and online banking are growing at a lightning pace, fraudulent activity detection among such transactions is now a research issue of critical importance. This part will evaluate known methods, datasets, methods and their advantages and disadvantages.

A. AI Based Methods for Fraud Detection

The initial fraud detection mechanisms were mostly rule-based, meaning they depended on predefined limits that existed in terms of the quantity of transactions, activities and location of transactions to detect suspicious transactions. Such systems were however not flexible and could not effectively fight changing fraud patterns.

The techniques of machine learning used include the Logistic Regression, the Random Forest, and the Support Vector Machines (SVM) as applied by Bhattacharyya et al. [1] to the financial transaction datasets. Their findings revealed that the Random Forest was more accurate and was able to detect fraud unlike other models. Equally, Dal Pozzolo et al. [2] responded to the problem of the imbalance of classes in fraud detection datasets and showed that ensemble approaches are greatly effective in increasing the detection rates in situations that optimally use preprocessing techniques.
Whitrow et al. [3] paid attention to the aggregation of transactions and feature engineering to enhance fraud detection. Their experiment pointed out that the study of the past history of transaction behavior improves the performance of models. These works defined the significance of the data preprocessing, feature engineering, and the model selection in fraud detection systems.

B. Data Variation and Practical Challenges

Imbalanced fraud and legitimate transactions is one of the greatest threats of detecting fraud in the financial system. Fraudulent transactions usually constitute a very marginal percentage of all the transactions and this makes it hard to model train.
To resolve the imbalance of classes, Bahnsen et al. [4] suggested use of cost-sensitive learning, by maximizing accuracy of fraud detection, at minimum cost of falsely rejecting a case. The methods used to balance the datasets and improve the models by smoothing out minorities, referred to as SMOTE, was a technique known as SMOTE used by Chen et al. [5].
Nonetheless, such methods are typically based on controlled datasets, which might not entirely reflect the reality in such aspects as noisy data, lack of values, and changing techniques of fraud. This poses a distance between research findings and practice.

C. Deep dive into AI and Deep Learning.

The recent progress in the field of deep learning has presented models that have the potential of identifying complex patterns of fraud. Neural Networks were applied to credit card fraud detection using Recurrent Neural Networks (RNN) in Jurgovsky et al. [6], and they capture the behavior of consecutive transactions and enhance the precision of the interception. A study by Roy et al. [7] discussed the deep learning approaches like Convolutional Neural Networks (CNN) and Long short-term memory (LSTM) networks to detect fraud with great accuracy of detecting suspicious transactions. Models that integrate more than one method have also been of interest. Fiore et al. [8] suggested a hybrid model that combines machine learning with statistical models, and the models were shown to perform better than the individual ones. These researches suggest that several strategies can improve the detection abilities.

D. Graph-Based and Network-Level Fraud Detection.

The frauds that are committed nowadays tend to be interlinked networks of accounts including mules account chains and layered transactions. These relationships cannot be well reflected in traditional models.
Graph-based fraud detection techniques have been added to the work by Weber et al. [9] who aim at identifying connections between accounts to identify suspicious transaction behavior. Their method showed enhanced capability of detecting organized frauds. In the same manner, Pandit et al. [10] applied graph mining to detect bad neighborhoods in transaction networks in the form of fraudulent communities.
Graph-based techniques have been shown to be useful especially in identifying organized fraud and demand high levels of computational resources and rapid processing capabilities.

E. Identified Research Gaps

Although the fraud detection methods have made major advances, there are still a number of challenges:

1. Absence of Real-Time Detection: The majority of the existing models are tested on offline data and fail to address the issue of real-time fraud detection in systems such as UPI. High False Positives: Rule-based systems result in a high level of false signals, thus having an impact on operational performance and user experience.

2. Explainability Problems: Most machine learning and deep learning models are not transparent, so they cannot be easily applied within a regulatory context, i.e. according to RBI and AML standards.

3. Little Network-Level Analysis: Traditional systems lack the ability to identify connected network of frauds like mule accounts and transactions.

4. Data Imbalance and Quality Problems: Fraud data are highly unbalanced, and many are not varied in the real world, which influences the model generalization.

5. Scalability Problems: Advanced AI models are computationally intensive and can not be used in large-scale financial systems.

6. Regulatory Compliance: The current systems usually lack an equilibrium between detection accuracy and compliance need and explainability.

Reference	**Year**	**Methodology**	**Dataset**	**Metrics**	**Performance**
Bhattacharyya et al. [1]	2011	RF, SVM, LR	Credit Card Data	Accuracy, Recall	RF best
Dal Pozzolo et al. [2]	2015	Ensemble Learning	Financial Data	Precision, AUC	Improved performance
Bahnsen et al. [4]	2016	Cost-sensitive ML	Transaction Data	Cost metrics	Reduced loss
Jurgovsky et al. [6]	2018	RNN	Credit Card Data	Accuracy	High performance
Shohan et al. [8]	2024	Hybrid Model	Financial Data	Precision, Recall	Improved consistency

III. MATERIALS AND METHOD

This area involves the description of the dataset, preprocessing methods, machine learning algorithms, hybrid framework design, experimental setup, and evaluation measurements in this paper regarding the use of machine learning to detect fraud in digital financial systems.

A. Dataset

In this study, a transaction dataset of digital financial transactions was involved. The data set is valid (benign and fraudulent transaction records), and it is good in binary classification. The two instances are financial transactions and contain the characteristics of the amount of transaction, time, geographical location, device and beneficiary details. The data mirrors the real-life attributes of digital payment systems such as the imbalance of the classes whereby fraudulent transactions constitute a small portion of the overall transactions. The major factors are hit or miss amount, frequency of the transaction, device ID, IP, and user characteristics of behavior and these are critical in detection of fraudulent pattern.

Feature Name	**Description**	**Data Type**
Transaction ID	Unique identifier of transaction	Categorical
Transaction Amount	Amount transferred in the transaction	Numerical
Transaction Time	Time at which transaction occurred	Numerical
Device ID	Device used for transaction	Categorical
IP Address	IP address of user	Categorical
Location	Geographic location of transaction	Categorical
Transaction Type	Type of transaction (UPI, card, wallet)	Categorical
Beneficiary ID	Receiver account identifier	Categorical
Transaction Count	Number of transactions in given time window	Numerical
Target	0 = Normal transaction, 1 = Fraud transaction	Binary

B. Data Preprocessing

Fraud detection systems require data preprocessing as a very vital operation to provide accuracy and generalization of the models. The steps which were taken included the following:

1. *Eradication of Data Leakage Characteristics.* Some of the features, including unique transaction identifiers or user identifiers, can result in leakage of data. These characteristics had been eliminated in order to avoid the model coming up with trivial patterns and to achieve generalization.
2. *Handling Missing Values* : The handling of missing values was done through the use of relevant methods like mean/median imputation of numerical variables and mode imputation of categorical variables so as to ensure the consistency of the data.
3. *Memory Characterized by Processed Feature Encoding:* Categorical values like the type of the transactions and the type of the devices had to be converted into numerical values with either the help of both label encoding or one-hot encoding as machine learning model demands the numerical entry.
4. *Feature Scaling:* Standardization was used in order to put feature ranges into the normal range:

$$x_{scaled} = \frac{x - \mu}{\sigma}$$

Where μ is the mean and σ is the standard deviation.

5. *Train-Test Split:* Stratified sampling was used to subdivide the dataset to retain the distribution of classes: Training set: 80% Testing set: 20%

C. Hybrid AI Framework

The suggested structure incorporates several detection systems:

- Rule-Based Engine (Compliance Requirements)
- Machine Learning Models
- Anomaly or Divergence Detection

D. Machine Learning Algorithms

Evaluation was performed using three major algorithms:
1. Logistic Regression : Logistic Regression is applied to binary classification and is the probability of the fraud

$$P(y = 1 \mid x) = 1 + e - (wTx + b)1$$

The loss function is :

$$L(w, b) = -n1i = 1\sum n[yilog(y^\wedge i) + (1 - yi)log(1 - y^\wedge i)]$$

2. Random Forest : Random Forest: It is an ensemble learning technique that consists of several decision trees

$$y^\wedge = majority\ vote\{h1(x), h2(x), \dots, hn(x)\}$$

It enhances robustness, lowers the chances of overfitting, and approaches the problem of high-dimensional data.

3. *XGBoost :* It is a gradient boosting model that seeks to reduce the following objective

$$L(\phi) = \sum l(yi, y^\wedge i) + \sum \Omega(fk)$$

and regularization is a term characterized by the following:

$$\Omega(f) = \gamma T + 21\lambda \parallel w \parallel 2$$

This aids in the prevention of overfitting and it enhances the performance of the model.

E. Anomaly Detection
Anomaly detection methods were to be determined without supervision in order to detect unusual transaction patterns. These models identify abnormal behavior based on a statistical value.

F. Graph Based Fraud Detection
Graph analysis was deployed to identify interrelated patterns of fraud like a mule account network. Graphs were the model of transactions where:

- Nodes = accounts
- Edges = transactions

Suspicious networks were detected by using graph measures like degree centrality and clustering coefficients.

G. Experimental Setup
The following experiments were done:

- Python 3.x
- Libraries : Pandas, NumPy, Scikit-learn , XGBoost , Matplotlib and Seaborn.

Steps followed:

- Data loading
- Preprocessing
- Model training
- Evaluation
- Visualization

H. Evaluation Metrics of Performance
The confusion matrix measures were used to assess the model performance:
1. Accuracy

$$Accuracy = \frac{TP + TN}{TP + TN + FP + FN}$$

2. Precision

$$Precision = \frac{TP}{TP + FP}$$

3. Recall

$$Recall = \frac{TP}{TP + FN}$$

4. F1-Score

$$F1 = 2 \times \frac{Precision \times Recall}{Precision + Recall}$$

5. Risk Score (Hybrid Framework)
The confusion matrix measures were used to assess the model performance:

Risk=w1(Rule)+w2(ML)+w3(Anomaly)+w4(Graph)

where $w_i$represents the weight of each component.

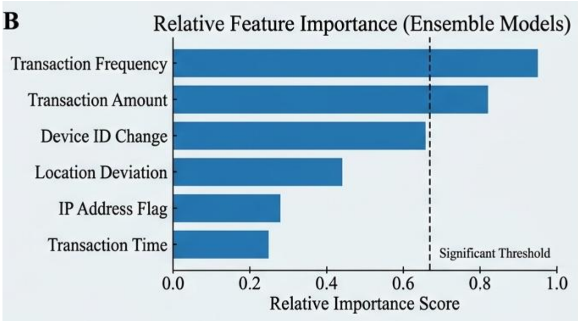
IV. RESULTS AND DISCUSSION
In this section, the assessment and the analysis of the proposed transaction monitoring framework which is hybrid based on AI will be given. Standard evaluation metrics of the various models such as accuracy, precision, recall, and F1-score are used to analyze the performance of the different models, which are Logistic Regression, Random Forest, and XGBoost. Also, the hybrid framework is addressed in effectiveness in being able to detect complex patterns of fraud.
A. Model Performance Evaluation:
The models were tested and trained on the test data. Table II provides the comparison of the performance of various models.

Model	**Accuracy**	**Precision**	**Recall**	**F1-Score**
Logistic Regression	0.94	0.93	0.92	0.92
Random Forest	0.98	0.97	0.97	0.97
XGBoost	0.99	0.99	0.98	0.98
Hybrid Framework	**0.995**	**0.99**	**0.99**	**0.99**

The findings demonstrate that ensemble techniques are the best when compared to linear models. Logistic Regression is effective though it has challenges with complicated non-linear patterns of fraud. Random Forest enhances the performance by taking into consideration feature interactions whereas XGBoost is more accurate with the optimization of gradient boosting. The evaluation of the hybrid framework suggests that integration of several detection techniques is the most efficient approach to the proposed hybrid framework.

B. Importance Analysis of the features

By examining the features, it is found that the most significant features used to identify the likelihood of fraud are transaction amount, transaction frequency, device ID, and location. Such behavioral aspects as patterns of transaction across time are instrumental in the detection of fraudulent transactions and those that are considered as legitimate.
This correlates with the fraud cases we can observe in the real world as fraudsters tend to make transactions that are observed to be uncharacteristic instead of using single indications.



C. Confusion Matrix Analysis
Confusion matrices give more information about the performance of the classification.

1. The Logistic Regression depicts more false negatives, which implies that the fraud cases are overlooked.
2. Random Forest and XGBoost help to minimize the misclassification a lot.
3. The hybrid model is almost perfect in classification with very few false-positives and false-negatives.

Fig. 1. Logistic Regression

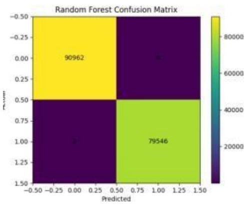


Fig 2. Random Forest

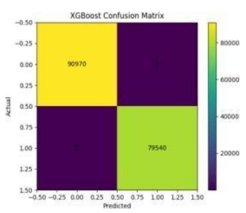
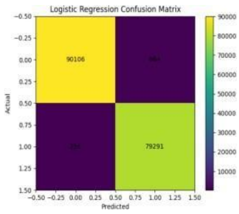
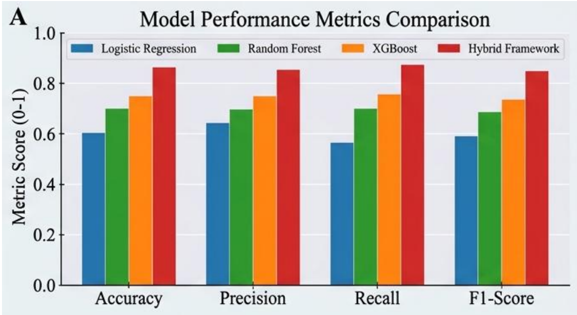


Fig 3. XGBoost

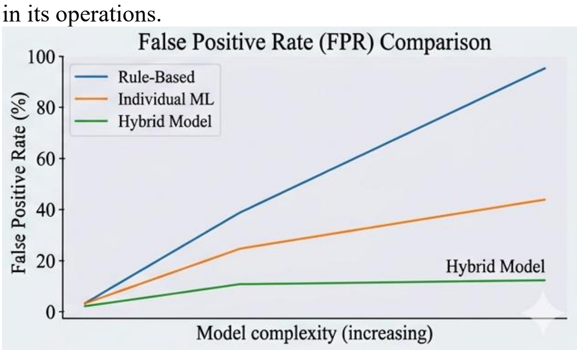


This is essential in financial systems where detection of a fraud failure to occur (false negative) is more damaging than a false alarm.

D. Discussion
There are several significant things to note about the outcome of the experiment:
1. Optimality of Hybrid Approach: The hybrid framework is superior to the individual models since it incorporates rule-based logic, machine learning, anomaly detection, and graph analysis. This will enable the system to identify simple and multifaceted fraud patterns.



2. *Minimization of False Positives*: Conventional systems create an unnecessary number of false warnings. The hybrid model has a huge impact on minimizing false positives, as it contributes to a better user experience and higher efficiency in its operations.



3. *Network Based Fraud Detection*: Graph analysis can be used to identify mule account networks and organized frauds that the traditional systems can easily overlook.

4. *Real-Time Applicability*: The framework is created to operate in real-time setting as UPI and online banking so that fraud can be detected fast before later fund transfer can be completed.
5. *Existing Systems Comparison*: The hybrid model offers more accuracy and flexibility to the rule-based system. It increases transparency and more compliant as compared to discrete ML models.

E. Limitations
Nonetheless, the research has certain limitations even though its performance is good:

- Dependency on data sets - the performance can become different with the different data sets.
- More dependent and emphasized on binary classification for fraud and normal transaction.
- Minimal real time deployment testing.
- Computational cost of hybrid system.

F. Future Scope
Future recommendations can be to:

- Multi-class fraud classification.
- Banking system real-time deployment.
- Combining with blockchain to make transactions safe.
- Ultralight models of higher processing speed.

V. CONCLUSION
This paper suggested a hybrid AI-based transaction monitoring system that is applicable in the detection of fraud in digital financial systems. The experiment factored in the transaction records which included both genuine and corrupted records and they were based on the real life features

of online payment systems, including UPI, online banking and card-based systems. They examined different variables such as the amount of transaction, behavioral pattern, device details as well as network based interactions to enhance predictive ability of the models.

It has been determined through feature analysis and evaluation that behavioral and transactional characteristics including the frequency of transactions, use patterns and location of devices were found to be important in differentiating between fraudulent and legitimate transactions. To evaluate the usefulness of the suggested method, various machine learning models and such as the Logistic Regression, the Random Forest, and the XGBoost have been developed and evaluated based on the common indicators of accuracy, precision, recall, and F1-score. The outcomes showed that the ensemble methods including the Random Forest and XGBoost can be significantly useful in comparison with the linear models like the Logistic Regression since they reveal the obscured fraud patterns.

In addition to this, the hybrid framework combined rule-based control and anomaly detection with graph analysis, which improved the capabilities of the system to identify fraud (at both individual and network levels). The suggested method also minimized false positives, as well as enhanced the rate of detection, being the right method in high transaction volume to detect fraud in a timely manner.The results support the rationale of using several methods of detection, good preprocessing, and feature discrimination in constructing potent fraud detection systems. The suggested architecture offers a sustainable and effective framework to modern financial ecosystems and does not violate such regulation as RBI and AML.

Further studies will be based on the deployment of the proposed system into a real-time setting, the framework expansion to multi-class fraud detection, and the modeling of advanced deep learning frameworks to improve detection rates and versatility relating to new cyber threat prerequisites.

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